

A FOUNDER'S AUDIT OF REVENUE ARCHITECTURE

The Growth Bottleneck Finder

Twenty minutes of honest answering
to find where your growth is structurally stuck.

Drawn from eight years of coaching ninety-five businesses
and the named frameworks of Johnson, Osterwalder, Kim & Mauborgne,
van der Pijl, Jaworski, and Diorio.

by

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FOREWORD

Most businesses don't have a growth problem. They have an architecture problem.

Every business that has plateaued has the same first instinct. Work harder. Push the sales team. Spend more on marketing. Add hours. Squeeze a little more out of what already exists.

It almost never works. The reason is structural, not effort-based.

Mark Johnson, who built Innosight with Clayton Christensen, has a name for the territory where most growth actually lives. He calls it the white space. The space around your current business model where your model cannot reach. Alex Osterwalder, who built the Business Model Canvas, calls it the model gap. Kim and Mauborgne, who built Blue Ocean Strategy, call it the uncontested market. Patrick van der Pijl, who built Business Model Shifts, calls it the next shift. They are all describing the same thing.

Growth in a mature business almost never comes from optimisation of the current model. It comes from the activation of the next one. The audit you are about to take is built on that premise. Seven dimensions of your revenue architecture. Five to seven yes-or-no questions per dimension. Twenty minutes of honest answering. A book insight after each domain that names what the world's best operators have already learned about that dimension. A pattern reading at the end that tells you where your bottleneck most likely lives.

The audit will not solve the bottleneck for you. It will tell you, with reasonable confidence, which one to solve first. That alone is worth the twenty minutes.

Most founders work harder on the wrong revenue model.
Few stop to ask whether the architecture itself is the problem.

HOW REVENUE ARCHITECTURE ACTUALLY WORKS

Four levers. Designed together, or accidentally apart.

Mark Johnson's research identifies four interlocking parts of any working business model. Most founders inherit them by accident and never redesign them on purpose. They are simple to name and unforgiving when they fall out of alignment.

01 **Customer Value Proposition**
What job the customer hires your business to do, and how clearly you do that job better than the available alternatives.

02 **Profit Formula**
How the business actually makes money. Revenue model, gross margin structure, resource velocity, and the unit economics underneath.

03 **Key Resources**
The people, technology, brand, IP, and capital required to deliver the value proposition profitably and repeatedly.

04 **Key Processes**
The recurring operating rhythms that turn resources into outcomes without depending on the founder being in the room.

The audit that follows tests the first two levers in depth, because they are where growth bottlenecks almost always sit. Resources and processes matter, but they are usually the consequence of architecture decisions, not the cause of stuck growth.

Source: Mark W. Johnson, Reinvent Your Business Model (Harvard Business Review Press)

HOW TO USE THIS AUDIT

Four simple rules.

01 **ANSWER HONESTLY**

The audit is for you, not for anyone else. There is no audience to impress. The value of the audit depends entirely on how honestly you answer.

02 **USE A 'NO' IF YOU CANNOT GENUINELY SAY 'YES'**

Default to No when uncertain. A No surfaces a real gap. A weak Yes hides one.

03 **COUNT YOUR NO's IN EACH DOMAIN**

After each domain, write the total number of No answers in the box provided. The pattern of No's across all seven domains is what reveals the growth bottleneck.

04 **DO NOT TRY TO SOLVE WHILE AUDITING**

Resist the urge to start fixing problems as you find them. The audit is a diagnostic, not an intervention. Finish the audit first. Then decide what to do.

DOMAIN 01

Revenue Models

ABOUT THIS DOMAIN

How many structurally distinct ways your business generates revenue. Most established businesses run one revenue model and have access to four or five. Concentration in a single model is the most common growth bottleneck for businesses between three and twenty crores.

ANSWER HONESTLY

01.	Can you list more than two distinct revenue models running in your business in less than thirty seconds?	[ ] Y	[ ] N
02.	Have you successfully launched a new revenue model in the last three years?	[ ] Y	[ ] N
03.	Is your single largest revenue model less than seventy percent of total revenue?	[ ] Y	[ ] N
04.	Do you know the gross margin of each revenue stream, to within ten percent?	[ ] Y	[ ] N
05.	Could your business survive a thirty percent decline in your largest revenue model?	[ ] Y	[ ] N
06.	Have you intentionally retired a revenue stream because it was structurally weak, not just unprofitable?	[ ] Y	[ ] N
07.	If a competitor copied your largest revenue model tomorrow, do you have a structural advantage that would still hold?	[ ] Y	[ ] N

YOUR "NO" COUNT IN THIS DOMAIN

0 to 1 No's: This domain is not your growth bottleneck.
2 to 3 No's: This domain has leaks worth fixing.
4 or more No's: This domain is likely where your growth is stuck.

TOTAL NO's _____

BOOK INSIGHT

The White Space

Mark Johnson, co-founder of Innosight with Clayton Christensen, makes a precise claim in *Reinvent Your Business Model*. Every established business has a 'white space' around it, the territory adjacent to its current model where the existing business cannot reach. White space is not a market gap. It is a model gap. The business that owns the new model owns the white space. Most founders work harder on the same revenue model and never see the territory their model is structurally unable to occupy.

Mark W. Johnson, Reinvent Your Business Model (HBR Press)

DOMAIN 02

Customer Architecture

ABOUT THIS DOMAIN

Which customer segments you serve, which you have access to but do not serve, and how you decide between them. Most businesses serve one or two segments well and remain blind to the adjacent segments that could double their revenue without doubling their cost.

ANSWER HONESTLY

01.	Can you name the three most important customer segments you serve, and rank them by lifetime value?	[ ] Y	[ ] N
02.	Is no single customer responsible for more than twenty percent of your revenue?	[ ] Y	[ ] N
03.	Have you actively added a new customer segment in the last two years?	[ ] Y	[ ] N
04.	Do you turn away customers who do not fit your target segments, on purpose?	[ ] Y	[ ] N
05.	Could you describe a customer segment your business could profitably serve but currently does not?	[ ] Y	[ ] N
06.	Do you segment your market by the job your customer is trying to get done, not just by demographics?	[ ] Y	[ ] N
07.	Is your customer base growing faster than your largest customer is shrinking as a share of revenue?	[ ] Y	[ ] N

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BOOK INSIGHT

Jobs-to-be-Done

Clayton Christensen and Alex Osterwalder both built their frameworks around one deceptively simple insight. Customers do not buy products. They hire products to do a job. The job has functional dimensions, emotional dimensions, and social dimensions. Two customers from different demographics often hire the same product to do the same job. Two customers from the same demographic often hire different products to do different jobs. Segmenting by demographic is a category error. Segmenting by job is the move that unlocks the segments your competitors cannot see.

Alex Osterwalder, Value Proposition Design (Wiley)

DOMAIN 03

Product Architecture

ABOUT THIS DOMAIN

The range of what you sell, the depth of value you capture from each customer, and the sequence in which a customer climbs your offer ladder. Most businesses have a core offer only. They serve the middle and lose both the entry buyer and the premium buyer.

ANSWER HONESTLY

01.	Does your average customer buy more than one product or service from you across their lifetime?	[ ] Y	[ ] N
02.	Have you launched a new product or service offering in the last twelve months?	[ ] Y	[ ] N
03.	Do you have a clearly defined entry-level offer with low risk and low commitment for new customers?	[ ] Y	[ ] N
04.	Do you have a premium offer that costs at least three times your standard offer?	[ ] Y	[ ] N
05.	Are at least eighty percent of your products profitable on a fully-loaded basis?	[ ] Y	[ ] N
06.	Have you intentionally retired a product or service in the last two years because it was a distraction, not because it failed?	[ ] Y	[ ] N
07.	Could you describe one product extension your customers have asked for that you have not yet launched?	[ ] Y	[ ] N

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BOOK INSIGHT

The Three-Tier Offer Ladder

Profit First, Scaling Up, and the broader operator literature converge on a structural pattern. Every mature business needs three offer tiers. An entry-level offer with low risk for the buyer that solves a real first problem. A core offer where the bulk of revenue lives. A premium offer where margin lives. Most businesses build the core and stop. They never build the on-ramp that brings new customers in, and never build the upper tier that lets the best customers stay and spend more.

Mike Michalowicz, Profit First / Verne Harnish, Scaling Up

DOMAIN 04

Pricing Architecture

ABOUT THIS DOMAIN

How you set, structure, and adjust prices. Pricing is the single highest-leverage decision in any business. A ten percent price increase usually drops more to the bottom line than a ten percent volume increase ever can. Most founders touch pricing once a decade and call it strategy.

ANSWER HONESTLY

01.	Have you raised prices on your core offering in the last twelve months?	[ ] Y	[ ] N
02.	Do you offer pricing in tiers rather than a single price point?	[ ] Y	[ ] N
03.	Do you bundle multiple offerings into higher-value packages with their own price?	[ ] Y	[ ] N
04.	Can you justify your prices on value delivered to the customer rather than cost-plus?	[ ] Y	[ ] N
05.	Do you have a structured discount policy rather than ad-hoc negotiation in the moment?	[ ] Y	[ ] N
06.	Could you increase prices by ten percent and expect to lose less than ten percent of customers?	[ ] Y	[ ] N
07.	Have you ever priced the same offer differently for different customer segments, on purpose?	[ ] Y	[ ] N

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BOOK INSIGHT

Value Innovation

W. Chan Kim and Renee Mauborgne argued in *Blue Ocean Strategy* that the highest performing companies of the last fifty years did one structural thing. They achieved value innovation. Simultaneously increased differentiation for the customer and reduced cost for the business. Their Four Actions framework asks every business four questions. What should we eliminate that the industry takes for granted? What should we reduce well below the standard? What should we raise well above it? What should we create that the industry has never offered? The answers, taken together, rewrite the price.

W. Chan Kim & Renee Mauborgne, Blue Ocean Strategy (HBR Press)

DOMAIN 05

Channel Architecture

ABOUT THIS DOMAIN

The routes you use to reach customers. Most established businesses are over-reliant on one channel that worked early and has been quietly compounding ever since. When that channel tightens, the entire growth engine stops. Channel diversity is not a nice-to-have. It is structural risk management.

ANSWER HONESTLY

01.	Are you using more than two distinct channels to acquire customers today?	[ ] Y	[ ] N
02.	Have you tested a new acquisition channel in the past twelve months and measured the result?	[ ] Y	[ ] N
03.	Do you know the cost of acquisition for each of your major channels?	[ ] Y	[ ] N
04.	Is no single channel responsible for more than fifty percent of your new customer flow?	[ ] Y	[ ] N
05.	Have you built a partnership channel where someone else sells your offering on your behalf?	[ ] Y	[ ] N
06.	Is your digital presence generating qualified inbound leads predictably, without paid advertising propping it up?	[ ] Y	[ ] N
07.	Could you describe one channel your competitors are using effectively that you have not yet tested?	[ ] Y	[ ] N

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BOOK INSIGHT

Revenue Operations as One System

Stephen Diorio's research on the highest-performing companies of the last decade surfaces a single recurring pattern. The winners aligned marketing, sales, and customer success into a single Revenue Operations system. The losers ran them as three departments fighting over the same budget. Channel architecture is not a marketing problem. It is an operating system problem. The channels work when marketing, sales, and service are answering to the same number.

Stephen G. Diorio & Chris K. Hummel, Revenue Operations (Wiley)

DOMAIN 06

Marketing Architecture

ABOUT THIS DOMAIN

The balance between branding, which captures mindshare, and direct response, which captures wallet share. Doing only one is a structural cap on growth. Branding without response is invisible. Response without branding is forgettable. Both, designed together, compound.

ANSWER HONESTLY

01.	Do you invest in both brand-building and direct-response, with separate budgets and separate metrics?	[ ] Y	[ ] N
02.	Do you have a clear positioning statement that distinguishes you from competitors in one sentence?	[ ] Y	[ ] N
03.	Is your brand recognisable to your target market without you having to introduce yourself?	[ ] Y	[ ] N
04.	Are your direct-response campaigns trackable end-to-end by spend and return?	[ ] Y	[ ] N
05.	Do you have a content engine that publishes useful work in your category every month, predictably?	[ ] Y	[ ] N
06.	Are your top three competitors clearly identified in writing, with a documented difference per competitor?	[ ] Y	[ ] N
07.	Could a stranger correctly describe what your business does, and why it matters, from your website alone?	[ ] Y	[ ] N

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BOOK INSIGHT

Propensity-Based Segmentation

Bernie Jaworski's *The Organic Growth Playbook*, winner of the American Marketing Association's Berry Book Award, makes one claim louder than the rest. Stop segmenting your market by demographics. Segment by propensity. The propensity of a customer to do the specific behaviour your business needs them to do. Your best customer is not the one who looks like your existing customers. Your best customer is the one most likely to take the action you sell. The behaviour matters more than the demographic.

Bernard J. Jaworski & Robert S. Lurie, The Organic Growth Playbook (Emerald)

DOMAIN 07

Revenue Lifecycle

ABOUT THIS DOMAIN

The mechanics of upsells, cross-sells, retention, and repeat revenue. The quiet place where most sustainable growth actually lives. Acquiring a new customer costs five to seven times what it costs to expand an existing one. Most businesses spend ninety percent of marketing budget on acquisition and almost nothing on the customers they already have.

ANSWER HONESTLY

01.	Do you have a documented upsell offer that you actively present to existing customers?	[ ] Y	[ ] N
02.	Do you have a cross-sell offer that fits naturally with your core product?	[ ] Y	[ ] N
03.	Do you measure customer retention as a primary metric, not as an afterthought?	[ ] Y	[ ] N
04.	Do you have a structured reactivation programme for customers who have lapsed?	[ ] Y	[ ] N
05.	Do you know your customer lifetime value to within twenty percent?	[ ] Y	[ ] N
06.	Is at least thirty percent of your revenue from repeat or recurring sources?	[ ] Y	[ ] N
07.	Could you grow revenue by twenty percent in the next twelve months from your existing customer base alone?	[ ] Y	[ ] N

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BOOK INSIGHT

The Expansion Engine

Modern Customer Success Management research is built on a single piece of operator math. In any business with recurring or repeat customers, the cheapest revenue you will ever earn comes from the customers you already have. The expansion engine, designed deliberately, accounts for a disproportionate share of growth in the businesses that compound. The businesses that struggle have built acquisition engines and treated retention as a customer service function. It is not. It is the second product line your business already paid to access.

Kleinaltenkamp, Prohl-Schwenke, Elgeti, Customer Success Management (Springer)

READING THE PATTERN

Six common patterns of stuck growth.

Add up your No's across the seven domains. The pattern matters far more than the total. Six patterns show up again and again in coaching businesses between three and twenty crores. Your business will likely resemble one of them strongly, with traces of one or two others.

The Concentrated Business

High No's in Revenue Models, Customer Architecture, and Product Architecture. Low No's elsewhere. The business runs well but on a single rail. Growth is capped by lack of variety, not lack of effort. The most common pattern in businesses between three and ten crores.

The Underpriced Business

High No's in Pricing Architecture and Marketing Architecture. The product is genuinely good. The team is genuinely good. The pricing has never been seriously re-examined and the brand has never been built. Growth is capped by capture, not capability.

The Leaky Business

High No's in Revenue Lifecycle, Channel Architecture, and Customer Architecture. The business acquires customers reasonably well but loses value at every other stage. Repeat purchase is accidental. Upsells are absent. Growth is capped by retention, not acquisition.

The One-Channel Business

High No's concentrated in Channel Architecture. Everything else looks reasonable. The business is structurally dependent on a single channel that is now tightening. Growth has not stopped because of the model. It has stopped because the model only knows how to reach customers one way.

The Founder-Locked Business

Moderate No's spread thinly across all seven domains. No single domain dominates. The pattern almost always reflects a business that runs entirely on the founder's energy. The architecture has not been designed at all. It has been improvised year after year. Growth is capped by the founder's calendar, not by any single dimension.

The Mature Business

Low No's across the board. The audit shows few gaps. And yet growth has slowed. This is the rarest and most interesting pattern. The model is well-built but the model is finished. The right next move is not optimisation. It is a structural Shift. The next page shows you which one.

THE SIX SHIFTS

Where established businesses go next.

Patrick van der Pijl and his team studied the business models of the last decade and surfaced six structural shifts that separated the businesses that compounded from the businesses that stalled. A founder reading the audit pattern in the previous page can usually see which shift the business is closest to needing.

From Products to Services

Selling the outcome the product delivers, not the product itself. Subscription. Outcome-based pricing. Ownership-of-the-result rather than ownership-of-the-item.

From Pipeline to Platform

Stop being the only producer. Build the rails that let other producers and customers transact. The most valuable companies of the last twenty years did this.

From Incremental to Exponential

Stop adding ten percent improvements. Find the move that ten-times the model. Usually digital, usually distribution, usually a new revenue model.

From Linear to Circular

Design out waste. Reuse, refurbish, resell. The circular shift is no longer just ethical, it is structural margin in resource-intensive businesses.

From Physical to Digital

Move some part of what you do into software or content that scales without proportional cost. Even traditional service businesses have a digital adjacency worth claiming.

From Shareholder to Stakeholder

Design the model so customers, employees, partners, and community share in the value created. Not as charity. As compound advantage that competitors cannot copy quickly.

Most stuck businesses do not need a new strategy. They need a Shift. The audit you have just completed is the first half of the work. Identifying which Shift is right for your specific business is the second half. That is the work of RAAG.

Source: Patrick van der Pijl, Justin Lokitz & Roland Wijnen, Business Model Shifts (Wiley)

YOUR 90-DAY MOVE

What to do this week, before you even consider RAAG.

Whichever pattern you fit, there is real work you can do this week that does not require any external help. The point of this page is to make sure the audit produces action even if you never speak to me. That is what an honest lead magnet does.

If you are The Concentrated Business

Spend two hours this week listing every revenue model your business could theoretically run, without filtering for feasibility yet. Then pick the one you would be most willing to test for ninety days. Commit to a single small experiment that will tell you whether the model is alive in your market. Define success in advance, in one specific number.

If you are The Underpriced Business

Calculate, this week, what would happen to your bottom line if you raised your core offer price by ten percent for new customers. Run the math honestly, including the probability of customer loss. Almost always, the math says raise. Test it on the next five proposals.

If you are The Leaky Business

Pick your top twenty customers from the last three years. For each, write down what you have sold them and what they would buy from you next if you offered it. Most of your next twelve months of revenue is hiding inside this list.

If you are The One-Channel Business

Identify the second-best channel your competitors are using. This week, design a single, small, low-stakes test of that channel. Do not commit to it yet. Just learn what is true about it for your specific business, before the first channel tightens further.

If you are The Founder-Locked Business

Take a week of your own calendar and audit it honestly. What in your week is something only you can do? What is something you have not delegated because it is faster to do it yourself? Most of your bottleneck is in the second category, and the first step is naming it.

If you are The Mature Business

Read the Six Shifts again. Identify the one shift your industry is moving toward whether you participate or not. Decide this week whether you will lead that shift, follow it, or be replaced by someone who does.

THE NEXT STEP

What this audit cannot do for you.

This audit was designed to do one thing well. End the guesswork about where your growth is structurally stuck. If you have answered honestly, you now know which dimension of your revenue architecture is the bottleneck, which pattern most resembles your business, and what to do this week. That is a real achievement. Most founders never get this clarity in a lifetime of running a business.

What this audit cannot do is map the specific revenue models your particular business has access to but is not using. It cannot calculate, in actual rupees, what activating each model would be worth in the next twelve months. It cannot identify which of the Six Shifts is right for your industry, your stage, and your appetite. It cannot sequence the first three moves that will compound. For that, you need a structured diagnostic with someone who has run this conversation across ninety-five businesses.

That is what RAAG is for.

RAAG

Revenue Architecture Audit & Guidance

A one-on-one diagnostic engagement that maps every revenue stream your business currently runs against the Business Model Canvas, identifies the revenue models you have access to but are not using, applies the right Shift from van der Pijl's framework, calculates the twelve-month opportunity in actual rupees, and sequences the first three moves you should make.

Ninety minutes live on Zoom. A written report within seven days. A follow-up call thirty days later to check execution and adjust. The next step for any founder whose audit has shown that growth is structurally stuck on revenue architecture.

Apply at sureshbalachandar.in/raag

FURTHER READING

The bookshelf this audit was built on.

If any of the Book Insights in this audit caught you, the original books deserve your time. These are the texts I returned to most often while designing the RAAG diagnostic.

Reinvent Your Business Model by Mark W. Johnson
The clearest articulation of business model architecture and the white space concept that anchors RAAG.

Business Model Generation / Value Proposition Design by Alexander Osterwalder & Yves Pigneur
The Business Model Canvas and the Value Proposition Canvas, both used inside RAAG to map current and future state.

Blue Ocean Strategy / Blue Ocean Shift by W. Chan Kim & Renee Mauborgne
Value innovation, the strategy canvas, and the Four Actions framework that drives the pricing and offer redesign in RAAG.

Business Model Shifts by Patrick van der Pijl, Justin Lokitz & Roland Wijnen
The Six Shifts framework. The single most useful tool I have for showing founders what their next structural move is.

The Organic Growth Playbook by Bernard J. Jaworski & Robert S. Lurie
Propensity-based segmentation and the buying process waterfall. AMA Berry Book Award winner. Underrated.

Revenue Operations by Stephen G. Diorio & Chris K. Hummel
The integration of marketing, sales, and customer success into a single revenue operating system.

Scaling Up by Verne Harnish
The Four Decisions framework that connects revenue architecture to people, execution, and cash.

Profit First by Mike Michalowicz
The allocation discipline that turns growing revenue into growing profit. Required reading on the margin side.

Your Most Important Number by Lee Benson, foreword by Ram Charan
How to identify the single number that drives every other number in your business. The cornerstone of execution.